land revenue to the state heavily subsidizing agriculture inputs and buying out crops, most specifically wheat and rice, at off-market prices.

Third, India's economy has been substantially opened to foreign investment and technology. The dominance of the policy of import substitution has been dispensed with substantially though there have been some attempts to bring it back in the name of Atmanirbhar Bharat in the past year. While India has continued to face trade deficit and current account deficit, substantial flow of capital—FDI (predominantly equity) and FPI (both equity and debt)—has resulted in a substantial capital account surplus, large enough to offset the current account deficits in most years.

Fourth, the financial sector—banks, insurance, pensions—has been gradually opened up to the private sector. The private sector has also established itself in the wider financial industry, such as non-banks, mutual funds, the money market and infrastructure financing. It has also raised considerable funds from abroad to invest and lend to the domestic industry. The private sector is again the more dominant player in almost all segments of the financial sector.

Fifth, government finances continued to remain under pressure with India facing high levels of public debt. There is no direct monetization of fiscal deficit, though RBI continues to hold a large amount of government securities.

These policies and their consequential impact on the Indian economy have also been discussed comprehensively in Part A of the book.